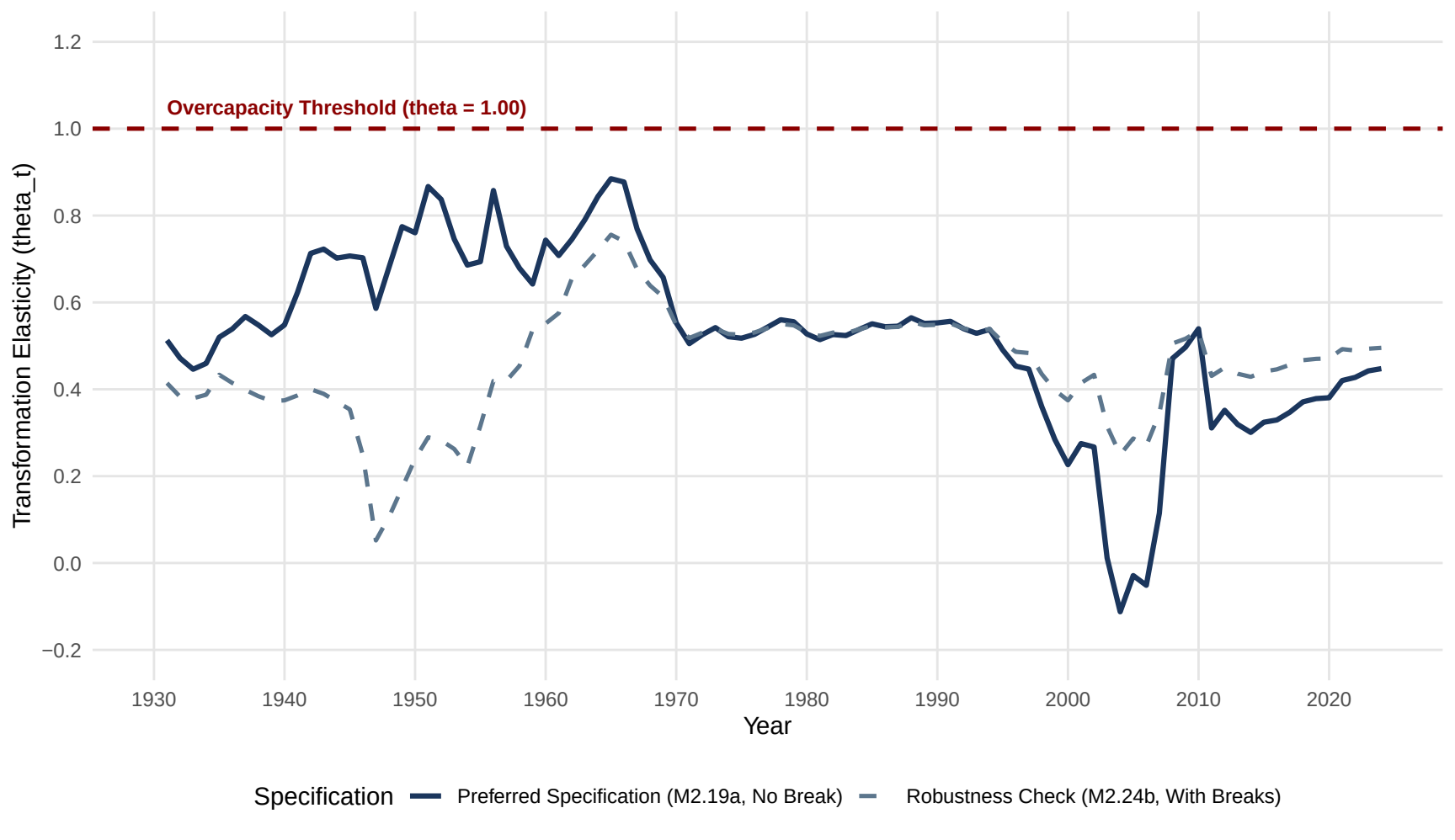
Overcapacity Threshold (theta = 1.00)
Transformation Elasticity (theta_t)
1.2
1.0
0.8
0.6
0.4
0.2
0.0
−0.2
1930
1940
1950
1960
1970
1980
1990
2000
2010
2020
Year
Specification
Preferred Specification (M2.19a, No Break)
Robustness Check (M2.24b, With Breaks)